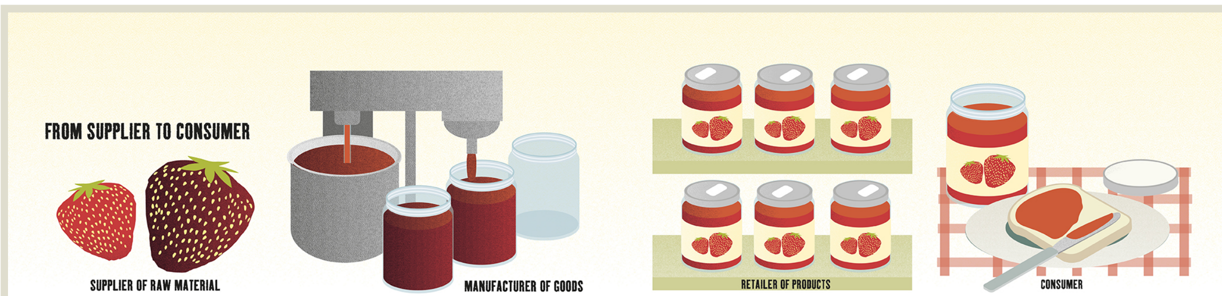
and payment for services including heating and lighting, repairs and maintenance of equipment, and insurance. If the business makes a profit, it will also have to pay some tax to the government. On the other side of the equation is the income a business gets from selling the product. Once a business is running successfully, this income can be used to pay for the costs of production. But starting a new business involves costs, such as buying machinery and paying for premises, before any goods can be produced and sold. Even established businesses need to spend money, from time to time, to increase production before they see a return on that money. So, in addition to revenue from sales, a business can raise money by taking a loan from the bank, or by selling shares in the company. In return, it will pay the bank interest on the loan, or the shareholders a share of the profit.



FROM THE SUPPLIER OF THE RAW MATERIALS TO THE SALE TO THE CONSUMER OF THE FINISHED PRODUCT, AT EACH STAGE BUSINESSES AIM TO MAKE A PROFIT.

Making a profit

To ensure the best income from sales, the business should identify its market, those people most likely to want its products. Some businesses, especially in the service sector, sell their products directly to the consumer, but there are often many different businesses involved in getting a finished product to the customer. For example, raw materials are supplied to manufacturers, who in turn supply stores with their products, which they offer for sale to their customers—each selling to the other for a profit. Many small businesses are run by the people who own them, but large companies employ qualified people as directors to manage the business. They ensure that the business is profitable, and decide what products to make and how they are sold. Due to